TSMC **OUTPERFORM**
2330 TT ▪ PRICE TWD2,440* ▪ TARGET PRICE **TWD3,090** (UPSIDE 27%)

TARGET PRICE	EPS 26e	EPS 27e
↗ 7%	↗ 3%	↗ 10%

TSMC ADR **OUTPERFORM**
TSM US ▪ PRICE USD430.0* ▪ TARGET PRICE **USD555** (UPSIDE 29%)

TARGET PRICE	EPS 26e	EPS 27e
↗ 6%	↗ 3%	↗ 10%

Faster topline brackets capex raise

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TSMC reported decent 3Q results. 3Q GPM came in at 66.4% vs guidance of 65-67%, while 3Q rev was 2% above the upper end of guidance. 4Q rev is guided 5% ahead of consensus, and the GPM midpoint of 66% is in line with consensus. Management maintained its 2026 capex guidance range of USD60-64b but indicated a significant increase beyond 2026. We raise our TP to TWD3,090/USD555 for TSMC/TSM US, on 9.7-9.9% higher 2027-28 EPS and 21x NTM P/E.

AI inference craves more silicon

HPC continued leading the growth in 3Q, with rev up 82% y-y and rev contribution up to 68%. We expect HPC rev to maintain its robust trend as next-gen AI accelerators to start mass production from 4Q. Amid the surge of AI token generation and inference workloads, CPU is an emerging driver and may offer additional upside. Our US semiconductors team estimated the CPU TAM to deliver c50% CAGR and reach cUSD245bn as of 2030. TSMC serves as the primary foundry for leading CPU players, with CPU contribution likely to rise to HSD in 2030 from the current c5%.

Boost capex for faster US expansion

Reuters reported that TSMC plans to enlarge its footprint in the US, with its second US-based complex to be located in Dallas City, Texas. In July, TSMC expanded its Arizona commitment by another USD100bn to USD265bn. The Texas complex, if confirmed, would double TSMC's total planned investment in the US to cUSD530bn. We expect TSMC to register c33% CAGR for capex during 2026-28, with allocation to the US potentially exceeding 50% beyond 2028. Backed by robust topline growth, we expect capital intensity to actually decline from 2027. Although the faster US expansion may imply a long-term GPM erosion due to higher investment and operating costs in US, the proximity to and the partnership with large US customers could help concrete TSMC's market position in advanced process while reducing the tariff and geopolitical risks.

Margin still in shape

GPM dilution started from 3Q, but the magnitude is smaller than expected. We forecast annual GPM dilution to be controlled at c1ppt in 2027-28E, as TSMC has the pricing power to pass cost inflation.

TSMC (+)	TSM US	2330 TT
*Closing Price (15 October 2026)	**USD430.0**	**TWD2,440**
Volume (USDm / TWDm)	4,669.9	62,705.8
Mkt cap (USDbn / TWDbn)	2,230	63,270
Free float (USDbn / TWDbn)	1,583	44,922
EV (USDbn / TWDbn)	2,142	60,437
Country / Sub Sector	Taiwan / Semiconductors	

Performance[1]	1w	1m	3m	12m
Absolute 2330 TT (%)	(4)	5	3	76
Rel. IT Hardware(%)	2	(1)	13	5
Rel. MSCI AC APAC(%)	(1)	6	2	34
Absolute TSM US (%)	(9)	3	2	46
Rel. MSCI USA(%)	(8)	2	0	26

Financials (2330 TT)	12/25	12/26e	12/27e	12/28e
EPS, Adjusted (TWD)	66.3	111.7	144.2	177.0
EPS, Company (TWD)	66.26	111.7	144.2	177.0
EPS - Bloomberg (TWD)	64.7	108.0	141.2	179.4
Net dividend (TWD)	22.0	30.0	38.0	46.0
Sales (TWDm)	3,809,054	5,599,962	7,565,596	9,436,054
EBITA, Adj. (TWDm)	1,936,091	3,292,264	4,345,272	5,306,257
Net profit, Adj.(TWDm)	1,717,882	2,895,785	3,738,425	4,589,337
ROCE (%)	48.5	56.3	55.7	53.0
Net Debt/EBITDA, Adj. (x)	-	-	-	-

Valuation (2330 TT)	12/25	12/26e	12/27e	12/28e
P/E (x)	17.6	21.8	16.9	13.8
Net yield (%)	1.9	1.2	1.6	1.9
FCF yield (%)	3.6	2.0	3.2	4.2
EV/Sales (x)	7.4	10.8	7.8	6.1
EV/EBITDA (x)	10.7	14.7	10.9	8.6
EV/EBITA (x)	14.5	18.4	13.6	10.8
EV/CE (x)	8.4	12.4	9.1	6.9

All valuation metrics based on adjusted figures

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) *(1) In listing currency, with dividend reinvested*

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Takeaways from 3Q26 conference call

3Q26 snapshot: Revenue reached USD46.7bn, +16.2% q-q and surpassed the high-end of previous guidance. 7nm/ 5nm/ 3nm/ 2nm accounted for 10%/ 28%/ 33%/ 8% of 3Q26 revenue. By platform, HPC/ smartphone/ IoT/ automotive accounts for 68%/ 21%/ 4%/ 4% of total revenue. Notably, revenue from HPC/ automotive/ smartphone represent 22%/ 23%/ 10% q-q growth. Gross margin was 66.4%, 1.3ppt lower q-q, due to the margin dilution from the initial ramp-up of N2 technology.

4Q26 and full year guidance: Management expects 4Q26 revenue to be USD52.3-54.3bn (+14% q-q growth at mid-point) with a GPM of 65-67%, reflecting margin dilution from both steep 2nm ramp-up and overseas fab expansion. 2026 full year revenue is raised to grow by 44% y-y (from above 40% y-y previously) in USD terms.

Capex: 2026 full year capex remains between USD60-64bn, and TSMC expects 2026-2028 capex to be significantly higher than the preceding three years, strategically supporting multi-year structural AI demand.

Capacity plan: The management expects **N2** family technology annual capacity to more than double in 2027, supported by strong demand from both smartphone and HPC/ AI applications. **A14** technology production is well on track for 2027, with volume production is scheduled for 2028 and is expected to be a larger node than N2. TSMC is expanding **N3** capacity with new fabs: One in Tainan's Science Park for volume production in 1H27; one addition in Tainan for volume production in 1H28; the second fab in Arizona will begin volume production in 3Q27, slightly ahead of previous schedule; Japan's second fab for 2028. Meanwhile, TSMC continues to convert 5nm tool to support 3nm capacity in Taiwan. TSMC has sent a team to evaluate potential for further capacity expansion in Texas and is actively discussing capacity utilization with Terafab.

Adoption of High-NA EUV: Adoption is planned for 2030 as TSMC priorities tool maturity and cost-effectiveness.

AI accelerator guidance: Previously, TSMC expected an AI accelerator CAGR at mid-to-high 50% from 2024-29 and now the company expects it to be higher, as demand is extremely robust with no signs of slowdown. TSMC's narrow definition of AI demand calculation does not include CPUs as it's difficult to differentiate between conventional server CPUs and AI server CPUs.

Advanced packaging: TSMC stressed the competitiveness of its advanced packaging technology, currently producing 5x reticle size in real-world production with excellent yield, and is working on 9x and 14x reticle sizes.

Supply chain: TSMC has partnered with **Global Foundries** for backend supply, as a part of its overall strategy to ensure customers are fully supported with sufficient capacity. The company also considers the internal capacity of **IDM** customers when planning its support and capacity build-up, treating customers fairly, irrespective of their business model. TSMC does **not permit subletting or auctioning off** capacity by customers, though customers can collaborate through mask licensing agreements, which is not a common practice.

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Raise TP to TWD3,090/USD555

We raise our TP to TWD3,090/USD555 from TWD2,890/USD478, by raising our 2026-28E earnings estimates by c3-10%. This is supported by AI demand reflected in the AI accelerator growth, with no signs of slowing down per mgt.

We assign a target P/E multiple of 21x 2027E EPS (vs 22x previously), which is still based on +2SD over the 1-year average P/E. We now assign a TSM US/TSMC premium of 14% (vs 15% previously), which is still based on the historical average.

Figure 1: TSMC earnings forecast revision

	2026E		2027E		2028E		2026E	2027E	2028E
TWD bn	Old	New	Old	New	Old	New	% of forecast changes		
Wafer Shipments (kwpm, in 12" equiv.)	17,552	17,541	19,072	18,995	20,415	20,428	0%	0%	0%
ASP (TWD/wafer)	308,174	319,252	362,909	398,295	419,603	461,915	4%	10%	10%
Revenue	**5,409**	**5,600**	**6,921**	**7,566**	**8,566**	**9,436**	4%	9%	10%
EBITDA	3,993	4,119	5,006	5,421	6,171	6,674	3%	8%	8%
Pretax income	3,363	3,480	4,104	4,507	5,029	5,530	3%	10%	10%
Net profit	**2,801**	**2,896**	**3,407**	**3,738**	**4,174**	**4,589**	3%	10%	10%
NPM %	51.8%	51.7%	49.2%	49.4%	48.7%	48.6%	-0.1%	0.2%	*-0.1%*
EPS (TWD)	108.0	111.7	131.4	144.2	161.0	177.0	3%	10%	10%

Source: BNP Paribas Equity Research estimates

Figure 2: Financial summary

TWD bn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2023	2024	2025	2026E	2027E	2028E
Revenue	**593**	**674**	**760**	**868**	**839**	**934**	**990**	**1,046**	**1,134**	**1,270**	**1,494**	**1,701**	**2,162**	**2,894**	**3,809**	**5,600**	**7,566**	**9,436**
Cost of Revenue	278	315	320	356	346	386	401	394	383	410	502	578	987	1,270	1,528	1,873	2,631	3,395
Operating Expenses	65	72	79	87	86	84	88	87	92	94	116	133	254	302	345	435	590	735
Operating Income (Loss)	**249**	**287**	**361**	**426**	**407**	**463**	**501**	**565**	**659**	**767**	**876**	**990**	**921**	**1,322**	**1,936**	**3,292**	**4,345**	**5,306**
EBITDA	408	452	529	596	582	651	663	727	824	965	1,097	1,232	1,454	1,985	2,624	4,119	5,421	6,674
Interest Expense, Net	(15)	(16)	(18)	(19)	(20)	(22)	(23)	(22)	(23)	(27)	(32)	(26)	(42)	(68)	(86)	(108)	(147)	(205)
Pretax Income	267	306	384	449	431	493	525	592	688	862	911	1,019	979	1,406	2,042	3,480	4,507	5,530
Net Income for Common Equity	**225**	**248**	**325**	**375**	**362**	**398**	**452**	**506**	**572**	**707**	**763**	**854**	**838**	**1,173**	**1,718**	**2,896**	**3,738**	**4,589**
Basic EPS, GAAP	8.7	9.6	12.5	14.5	13.9	15.4	17.4	19.5	22.1	27.2	29.4	32.9	32.3	45.3	66.3	111.7	144.2	177.0
Diluted EPS, GAAP	8.7	9.6	12.5	14.5	13.9	15.4	17.4	19.5	22.1	27.2	29.4	32.9	32.3	45.2	66.2	111.7	144.2	177.0
DPS, GAAP													14.0	17.0	22.0	30.0	38.0	46.0
BPS													133.4	165.4	209.0	298.7	412.9	551.8
GPM%	53.1%	53.2%	57.8%	59.0%	58.8%	58.6%	59.5%	62.3%	66.2%	67.7%	66.4%	66.0%	54.4%	56.1%	59.9%	66.6%	65.2%	64.0%
EBIT margin%	42.0%	42.5%	47.5%	49.0%	48.5%	49.6%	50.6%	54.0%	58.1%	60.3%	58.7%	58.2%	42.6%	45.7%	50.8%	58.8%	57.4%	56.2%
EBITDA margin%	68.9%	67.1%	69.6%	68.6%	69.4%	69.8%	67.0%	69.5%	72.7%	76.0%	73.4%	72.4%	67.2%	68.6%	68.9%	73.5%	71.7%	70.7%
Net margin%	38.0%	36.8%	42.8%	43.1%	43.1%	42.7%	45.7%	48.3%	50.5%	55.6%	51.1%	50.2%	38.8%	40.5%	45.1%	51.7%	49.4%	48.6%
Rev yoy%	17%	40%	39%	39%	42%	39%	30%	20%	35%	36%	51%	63%	-5%	34%	32%	47%	35%	25%
EBIT yoy%	8%	42%	58%	64%	63%	62%	39%	33%	62%	65%	75%	75%	-18%	43%	46%	70%	32%	22%
NP yoy%	9%	36%	54%	57%	60%	61%	39%	35%	58%	77%	69%	69%	-18%	40%	46%	69%	29%	23%
CAPEX													(950)	(956)	(1,272)	(2,000)	(2,500)	(3,000)
FCF													292	870	1,003	1,270	1,974	2,555
ROE													26%	30%	35%	44%	41%	37%

Source: BNP Paribas Equity Research estimates

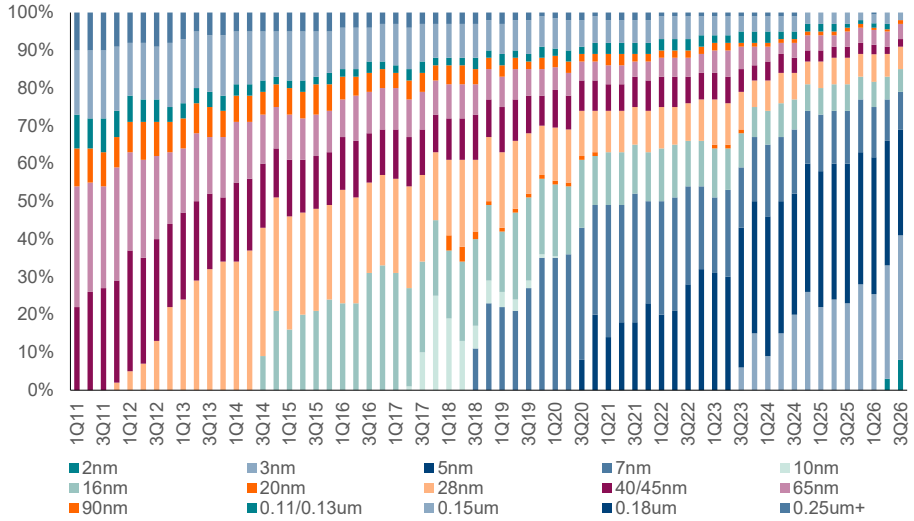
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Figure 3: TSMC valuation table

	2023	2024	2025	2026E	2027E	2028E
EPS (TWD)	**32.3**	**45.3**	**66.3**	**111.7**	**144.2**	**177.0**
yoy%	*-18%*	*40%*	*46%*	*69%*	*29%*	*23%*
EPS (USD)			2.10	3.53	4.56	5.60
DPS (TWD)	**14.0**	**17.0**	**22.0**	**30.0**	**38.0**	**46.0**
DPS (USD)			0.70	0.95	1.20	1.46
USD/TWD					31.6	
Target P/E (x)					21	
TP - TW (TWD)					**3,090**	
ADR premium/(discount)					***14%***	
TP - ADR (USD)					**555**	
Implied P/E - TWD (x)				*27.7*	*21.4*	*17.5*
Implied P/E - ADR (x)				*31.4*	*24.3*	*19.8*

Source: BNP Paribas Equity Research estimates

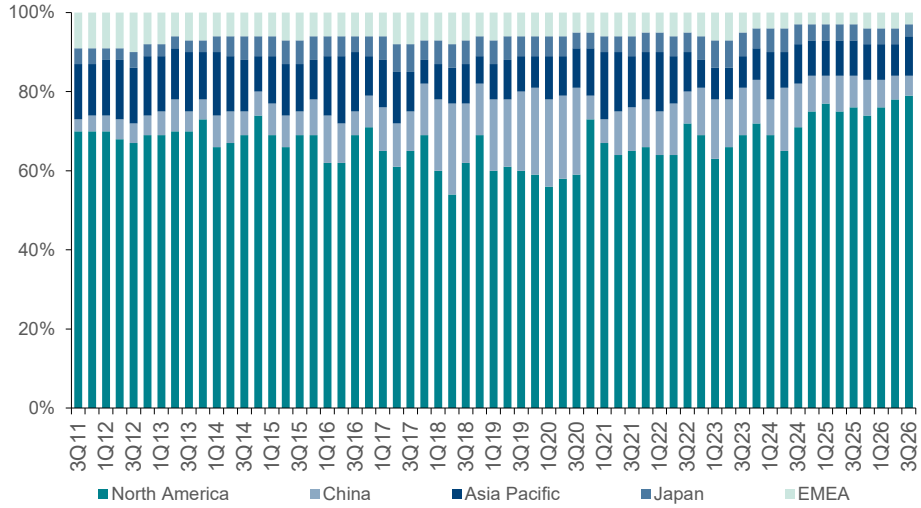
Figure 4: Revenue by process technology node



Source: Company, BNP Paribas Equity Research estimates

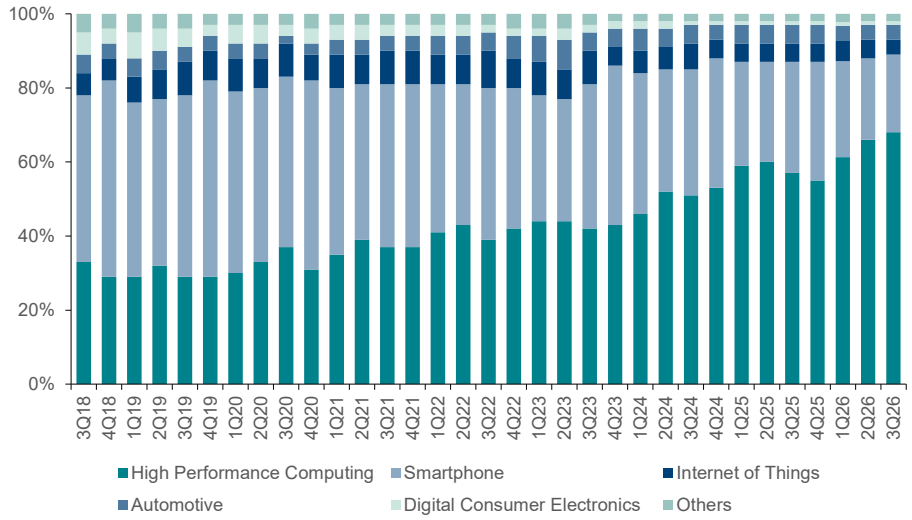
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Figure 5: Revenue by geography



Source: Company, BNP Paribas Equity Research estimates

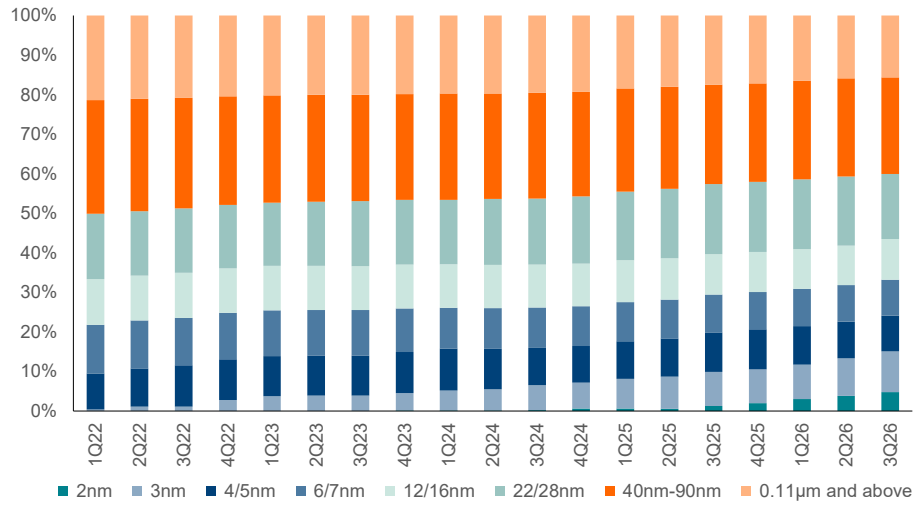
Figure 6: Revenue by application



Source: Company, BNP Paribas Equity Research estimates

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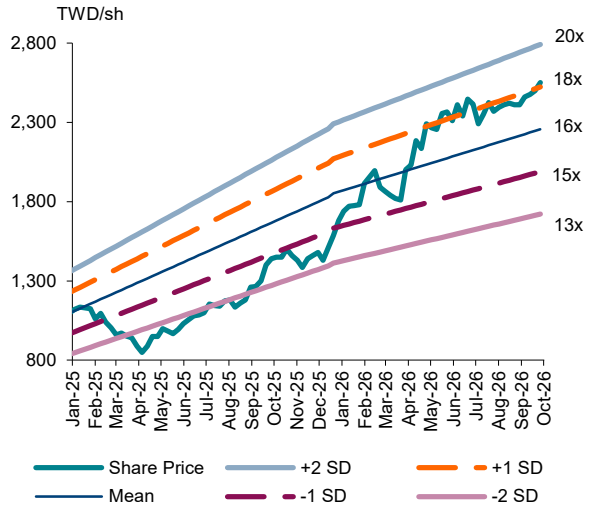
Figure 7: Capacity breakdown



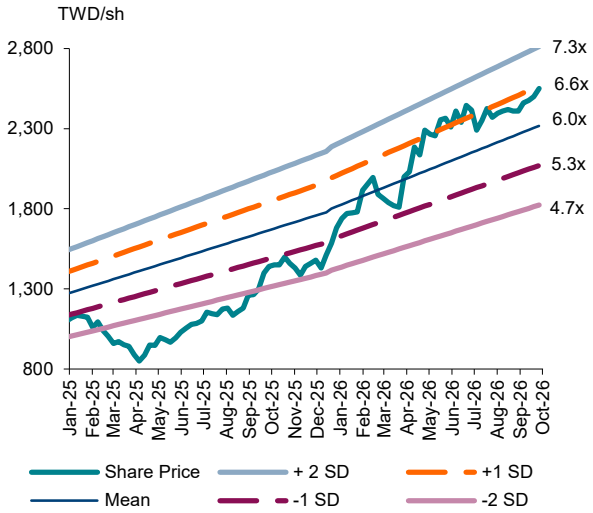
Source: Company, BNP Paribas Equity Research estimates

Figure 8: TSMC's P/E and P/B bands (as of 15 Oct 2026)

12M forward P/E band



12M forward P/B band

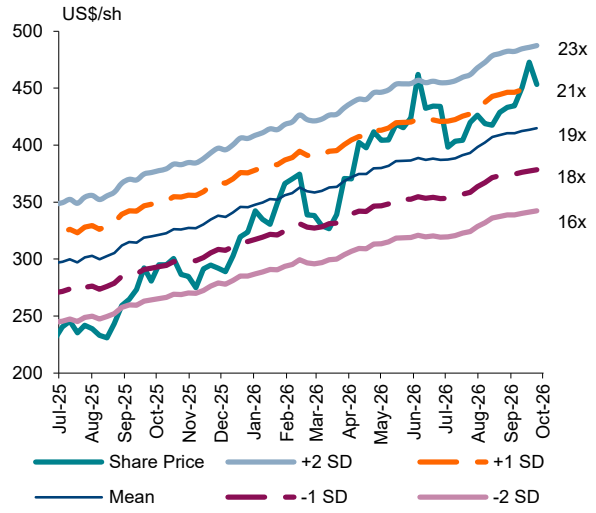


Source: Bloomberg, BNP Paribas Equity Research estimates

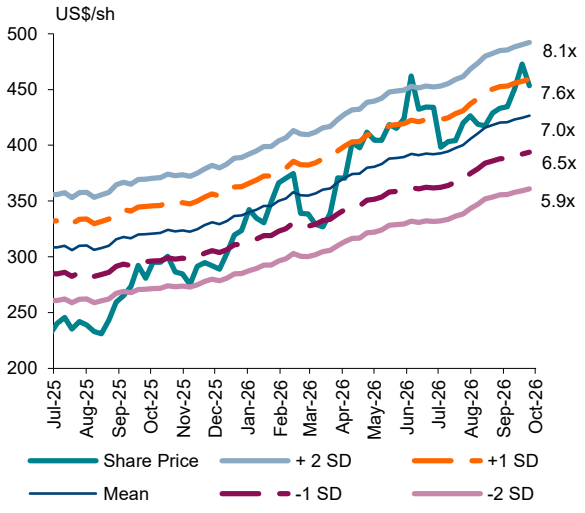
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Figure 9: TSM US's P/E and P/B bands (as of 15 Oct 2026)

12M forward P/E band



12M forward P/B band



Source: Bloomberg, BNP Paribas Equity Research estimates

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Investment case, valuation and risks

TSMC (Outperform, Target Price TWD3,090)

Investment case

We have an Outperform rating on TSMC. We like TSMC for its superior tech strength, operating efficiency and highly visible orders from key customers, backing its full N3 process utilisation through 2026 and a smooth ramp-up of its N2 process. In addition, TSMC has established the most comprehensive ecosystem, expanding into advanced packaging, mask making, etc., which enables it to deliver solutions to almost any process or package in the most efficient and economical way. The more than doubled TAM under Foundry 2.0 indicates significant potential for TSMC's value market share expansion, paving the way for a c39% 2025-28E earnings CAGR. TSMC has planned to invest a total of USD265b (vs USD165b previously) to set up fabs in the US. We think such moves will alleviate tariff risks, but will hurt TSMC's long-term margin & ROIC, as well as its technology edge over Intel. Despite the drag on TSMC's margins and ROIC in the long term from higher investment and operating costs in the US, we think the impact is lower than that from potential tariffs or investments in other US foundries.

Valuation methodology

We derive TSMC's target price of TWD3,090 based on 21x the average of our EPS estimates for 2027. The valuation premium is justified by TSMC's technological edge and highly visible 39% 2025-28E earnings CAGR.

Risks

To the upside:
1) Stronger-than-expected demand from AI chips and high-end smartphone SoCs; 2) reduced geopolitical risks.

To the downside:
1) Weaker-than-expected demand from AI chips and high-end smartphone SoCs; 2) rising geopolitical risks.

TSMC ADR (Outperform, Target Price USD555)

Investment case

We have an Outperform rating on TSMC. We like TSMC for its superior tech strength, operating efficiency and highly visible orders from key customers, backing its full N3 process utilisation through 2026 and a smooth ramp-up of its N2 process. In addition, TSMC has established the most comprehensive ecosystem, expanding into advanced packaging, mask making, etc., which enables it to deliver solutions to almost any process or package in the most efficient and economical way. The more than doubled TAM under Foundry 2.0 indicates significant potential for TSMC's value market share expansion, paving the way for a c39% 2025-28E earnings CAGR. TSMC has planned to invest a total of USD265b (vs USD165b previously) to set up fabs in the US. We think such moves will alleviate tariff risks, but will hurt TSMC's long-term margin & ROIC, as well as its technology edge over Intel. Despite the drag on TSMC's margins and ROIC in the long term from higher investment and operating costs in the US, we think the impact is lower than that from potential tariffs or investments in other US foundries.

Valuation methodology

We derive TSMC (ADR)'s target price of USD555 by assigning a 14% premium over TSMC's TP in TWD, in line with its past three-months average premium.

Risks

To the upside:
1) Stronger-than-expected demand from AI chips and high-end smartphone SoCs; 2) reduced geopolitical risks.

To the downside:

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1) Weaker-than-expected demand from AI chips and high-end smartphone SoCs; 2) rising geopolitical risks.

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Company/ies	Ticker/s	Relevant Disclosures
GLOBALFOUNDRIES	GFS US	2; 3; 4; 8- BNP Paribas Sec Corp is serving as a Passive Joint Bookrunner in the SEC registered secondary offering of common stock of GlobalFoundries Inc. | NASDAQ:GFS sold by Mubadala Technology Investment Company that announced to the market on March 11, 2026.
Intel	INTC US	2; 3; 4; 7; 8- BNP Paribas Securities Corp. serves as Passive Joint-Bookrunner on a $15bn SEC Registered primary Follow-On offering in common shares of Intel Corporation | NASDAQ:INTC that announced to the market on August 10, 2026.; 9; 10
TSMC	2330 TT	3; 4; 7; 8; 9; 10; 11- Net long position
TSMC ADR	TSM US	3; 4; 7; 8; 9; 10

1 – BNPP beneficially owns 1% or more of a class of common equity securities of the subject company/ies.
2 – BNPP managed or co-managed an offering of securities for the subject company/ies in the past 12 months.
3 – BNPP received compensation for investment banking services from the subject company/ies in the past 12 months.
4 – BNPP expects to receive or intends to seek compensation for investment banking services from the subject company/ies in the next 3 months.
5 – BNPP has entered into a contract with the subject company/ies to provide liquidity in its/their securities.
6 – BNPP is a market maker in the securities of the subject company/ies.
7 – BNPP received compensation for products and services other than investment banking services from the subject company/ies in the past 12 months.
8 – BNPP has or had an investment banking client relationship with the subject company/ies in the last 12 months.
9 – BNPP has or had a non-investment banking securities services client relationship with the subject company/ies in the last 12 months.
10 – BNPP has or had a non-securities services client relationship with the subject company/ies in the last 12 months.
11 – BNPP beneficially owns a net long or short position of more than 0.5% of the total issued share capital of the subject company/ies.
12 – BNPP is party to an agreement with the issuer relating to the production of the recommendation.
13 – Sections of this report, with the research summary, target price and rating removed, have been presented to the subject company/ies prior to its distribution, for the sole purpose of verifying the accuracy of factual statements.
14 – Following the presentation of sections of this report to the subject company/ies, some conclusions were amended.
15 – A member of BNPP Equity Research is an officer or a member of the Board of the subject company/ies.
16 – The subject company/ies hold(s) more than 5% of the total issued share capital of BNPP.
17 – BNP Paribas Securities (China) Limited owns 1% or more of the outstanding shares issued by the subject company.

vy2184@nyu.edu Valni Yarmorarpian 10/23/26 03:18:32 PM New York University

Explanation of Research Ratings

Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

Restricted (RS): The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.

Not Rated (NR): The stock is covered by BNPP but there is no Rating and no Target Price at this time.

Not Covered (NC): BNPP does not cover this company

As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 01 October 2026 BNP Paribas covered 1427 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	**Stocks coverage**		**Investment Banking Services Within the previous 12 months**	
	Counts	%*	Counts	%
Outperform (Buy)	751	53	164	22
Neutral (Hold)	476	33	104	22
Underperform (Sell)	200	14	40	20

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".

In line with the United Nations Sustainable Development Goals, the BNP Paribas Group has thus pledged to act as a catalyst in the energy transition, and to contribute to a responsible and sustainable economy. As a bank, we are required to finance a number of industries, some of which can pose major environmental, social and governance (ESG) challenges. That's why, since 2010, BNP Paribas has adopted and regularly reviewed sector policies laying down strict ESG criteria meant to govern our financing and investments in these sensitive areas. They aim to support our customers in their transitions towards sustainable practices. For more details, please refer to: Financing and investment policies - BNP Paribas (https://group.bnpparibas/en/our-commitments/transitions/financing-and-investment-policies).

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Price and Ratings Chart

TSMC

Historical Closing Price & Target Price **(closing price as of 15/10/2026)**



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
15 Oct 2026	(2)	+	TWD3090.00	TWD2440.00	TP up	A. Chang, S. GE, G. Wang
16 Jul. 2026	13:10	+	TWD2890.00	TWD2470.00	TP up	A. Chang, S. GE, G. Wang
16 Apr. 2026	11:53	+	TWD2520.00	TWD2085.00	TP up	A. Chang, S. GE, G. Wang
15 Jan. 2026	11:37	+	TWD1990.00	TWD1690.00	TP up	A. Chang, S. GE, G. Wang
16 Oct. 2025	15:38	+	TWD1670.00	TWD1485.00	TP up	A. Chang, G. Wang
18 Jul. 2025	00:26	+	TWD1361.00	TWD1155.00	TP up	A. Chang
17 Apr. 2025	17:26	+	TWD1320.00	TWD847.00	TP down	A. Chang, C. Tang
10 Apr. 2025	10:05	+	TWD1330.00	TWD785.00	Initiation of coverage	A. Chang, C. Tang

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.

- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.

- All ratings and target prices are valid for 12 months.

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TSMC ADR

Historical Closing Price & Target Price **(closing price as of 14/10/2026)**



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
15 Oct 2026	(2)	+	USD555.00	USD430.00	TP up	A. Chang, S. GE, G. Wang
16 Jul. 2026	13:10	+	USD526.00	USD409.74	TP up	A. Chang, S. GE, G. Wang
16 Apr. 2026	11:53	+	USD478.00	USD363.35	TP up	A. Chang, S. GE, G. Wang
15 Jan. 2026	11:37	+	USD385.00	USD341.64	TP up	A. Chang, S. GE, G. Wang
16 Oct. 2025	15:38	+	USD337.00	USD299.84	TP up	A. Chang, G. Wang
18 Jul. 2025	00:26	+	USD261.00	USD240.40	TP up	A. Chang
17 Apr. 2025	17:26	+	USD221.00	USD151.74	TP down	A. Chang, C. Tang
10 Apr. 2025	10:05	+	USD223.00	USD158.75	Initiation of coverage	A. Chang, C. Tang

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.

- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.

- All ratings and target prices are valid for 12 months.

For policies for managing conflicts of interest in relation to investment research, go to COI_investement_research.pdf (cib.bnpparibas).

The company-specific disclosures, history of recommendations, valuation methodologies and investment case risks for companies covered by this report are available on https://cube.cib.bnpparibas/slink/sk6EkeR5MreQc71u.

For material information about the proprietary models used, please see summary of financials in company-specific research reports and the relevant company page on https://cube.cib.bnpparibas.

BNP Paribas does not set a predetermined frequency for publication and intends to update research reports as it deems appropriate, based on developments affecting the subject company, the sector or the market.

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Price at 15 Oct. 26 / 12m Target Price

TWD2,440 / TWD3,090 +27%

Refinitiv / Bloomberg: 2330.TW / 2330 TT

Analyst: Alex Chang +852 28251849

TSMC (Outperform)

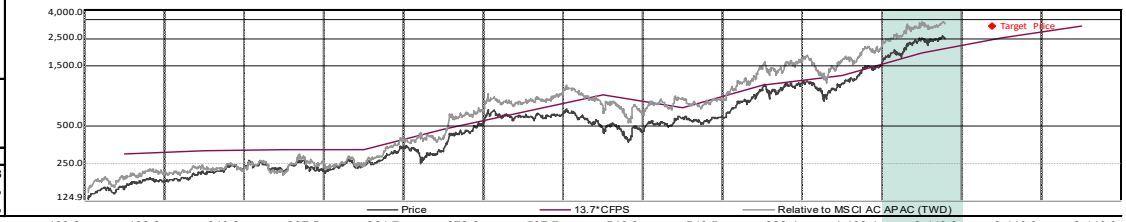
Semiconductors | IT Hardware - Taiwan

Company Highlights	TWDm / EURm
Enterprise value	60,437,157 / 1,692,575
Market capitalisation	63,270,162 / 1,771,915
Free float	44,921,815 / 1,258,060
3m average volume	62,706 / 1,756

Performance (*)	1m	3m	12m
Absolute	3%	0%	68%
Rel. Sector	NC	NC	NC
Rel. MSCI AC APAC	NC	NC	NC

12m Hi/Lo (TWD) : 2,585 -6% / 1,375 +77%

CAGR	2011/2026	2026/2028
EPS restated	23%	26%
CFPS	20%	27%



Price (yearly avg from Dec. 15 to Dec. 25)	*139.8*	*166.6*	*210.2*	*237.5*	*261.7*	*378.6*	*597.7*	*516.2*	*543.5*	*889.1*	*1,163.1*	*2,440.0*	*2,440.0*	*2,440.0*
PER SHARE DATA (TWD)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
No of shares year end, basic, (m)	25 930.288	25 930.380	25 930.380	25 930.380	25 930.380	25 930.380	25 930.380	25 929.190	25 929.223	25 927.556	25 928.262	25 930.394	25 930.549	25 930.549
Avg no of shares, diluted, excl. treasury stocks (m)	25 930.242	25 930.380	25 930.380	25 930.380	25 930.380	25 930.380	25 930.380	25 929.882	25 929.325	25 929.456	25 930.101	25 931.116	25 931.723	25 931.771
EPS reported, Gaap	*11.82*	*12.89*	*13.23*	*13.54*	*13.32*	*19.97*	*23.01*	*39.20*	*32.34*	*45.25*	*66.26*	*111.68*	*144.17*	*176.99*
EPS company definition	*11.82*	*12.89*	*13.23*	*13.54*	*13.32*	*19.97*	*23.01*	*39.20*	*32.34*	*45.25*	*66.26*	*111.68*	*144.17*	*176.99*
EPS restated, fully diluted	11.82	12.89	13.23	13.54	13.32	19.97	23.01	39.20	32.34	45.25	66.25	111.67	144.16	176.98
% change	*16.2%*	*9.0%*	*2.7%*	*2.3%*	*(1.7%)*	*50.0%*	*15.2%*	*70.4%*	*(17.5%)*	*39.9%*	*46.4%*	*68.6%*	*29.1%*	*22.8%*
Book value (BVPS) (a)	47.1	53.6	58.7	64.7	62.5	71.3	83.6	113.6	133.4	165.4	209.0	298.7	412.9	551.8
Net dividend	6.00	7.00	8.00	10.00	10.00	10.25	11.00	11.25	14.00	17.00	22.00	30.00	38.00	46.00
STOCKMARKET RATIOS	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
P / E (P/ EPS restated)	11.8x	12.9x	15.9x	17.5x	19.7x	19.0x	26.0x	13.2x	16.8x	19.6x	17.6x	21.8x	16.9x	13.8x
P / E relative to MSCI Europe	77%	72%	100%	113%	143%	79%	198%	98%	114%	128%	96%	147%	124%	111%
P / CF	7.2x	7.6x	9.0x	10.0x	11.2x	11.1x	12.7x	7.9x	10.7x	11.6x	12.7x	17.5x	13.4x	10.8x
FCF yield	7.4%	5.0%	4.6%	4.3%	2.3%	3.2%	1.8%	4.0%	2.6%	4.1%	3.6%	2.0%	3.2%	4.2%
P / BVPS	2.97x	3.11x	3.58x	3.67x	4.19x	5.31x	7.15x	4.54x	4.07x	5.38x	5.56x	8.17x	5.91x	4.42x
Net yield	4.3%	4.2%	3.8%	4.2%	3.8%	2.7%	1.8%	2.2%	2.6%	1.9%	1.9%	1.2%	1.6%	1.9%
Payout	50.7%	54.3%	60.5%	73.8%	75.1%	51.3%	47.8%	28.7%	43.3%	37.6%	33.2%	26.9%	26.4%	26.0%
EV / Sales	3.86x	4.15x	5.11x	5.51x	6.01x	7.06x	9.51x	5.65x	6.21x	7.51x	7.39x	10.79x	7.81x	6.09x
EV / Restated EBITDA	6.0x	6.5x	7.7x	8.4x	9.7x	10.5x	14.1x	8.2x	9.2x	11.0x	10.7x	14.7x	10.9x	8.6x
EV / Restated EBITA	10.2x	10.4x	13.0x	14.8x	17.2x	16.7x	23.2x	11.4x	14.6x	16.4x	14.5x	18.4x	13.6x	10.8x
EV / NOPAT	11.6x	12.0x	15.0x	16.8x	19.5x	18.8x	25.8x	12.8x	17.0x	19.7x	17.3x	22.1x	16.4x	13.0x
EV / OpFCF	10.4x	15.2x	16.5x	19.1x	33.8x	25.4x	45.8x	19.7x	31.4x	19.7x	21.2x	32.6x	21.6x	16.4x
EV / Capital employed (incl. gross goodw ill)	3.7x	3.8x	4.6x	4.7x	5.0x	6.2x	7.7x	5.1x	4.6x	7.3x	8.4x	12.4x	9.1x	6.9x
ENTERPRISE VALUE (TWDm)	**3,252,773**	**3,935,687**	**4,996,023**	**5,678,820**	**6,426,012**	**9,448,601**	**15,096,504**	**12,799,610**	**13,434,565**	**21,737,352**	**28,130,132**	**60,437,157**	**59,094,846**	**57,424,117**
Market cap	3,624,372	4,319,704	5,449,275	6,157,883	6,786,848	9,818,459	15,499,460	13,386,041	14,093,172	23,052,267	30,155,652	63,270,162	63,270,540	63,270,540
+ Adjusted net debt	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,719,113)	(4,061,801)	(5,732,530)
+ Other liabilities and commitments														
+ Revalued minority interests	2,856	2,496	2,514	2,493	2,869	5,121	17,489	67,418	99,210	188,303	188,303	188,303	188,303	188,303
- Revalued investments	43,238	56,334	57,941	49,396	51,928	59,440	83,756	150,132	210,672	302,195	302,195	302,195	302,195	302,195
P & L HIGHLIGHTS (TWDm)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
Sales	**843,497**	**947,938**	**977,447**	**1,031,474**	**1,069,985**	**1,339,255**	**1,587,415**	**2,263,891**	**2,161,736**	**2,894,308**	**3,809,054**	**5,599,962**	**7,565,596**	**9,436,054**
Restated EBITDA (b)	**542,553**	**601,786**	**645,702**	**676,170**	**659,585**	**898,508**	**1,072,376**	**1,558,533**	**1,453,657**	**1,984,850**	**2,624,187**	**4,118,632**	**5,420,790**	**6,674,451**
Depreciation	(222,506)	(223,828)	(260,143)	(292,546)	(286,884)	(331,725)	(422,395)	(437,254)	(532,191)	(662,797)	(688,096)	(826,368)	(1,075,518)	(1,368,194)
Restated EBITA (b)	**320,048**	**377,958**	**385,559**	**383,624**	**372,701**	**566,784**	**649,981**	**1,121,279**	**921,466**	**1,322,054**	**1,936,091**	**3,292,264**	**4,345,272**	**5,306,257**
Reported operating profit (loss)	320,048	377,958	385,559	383,624	372,701	566,784	649,981	1,121,279	921,466	1,322,054	1,936,091	3,292,264	4,345,272	5,306,257
Net financial income (charges)	26,249	4,506	7,588	10,829	14,300	14,401	7,542	15,114	53,051	78,906	100,074	182,734	156,101	218,127
Affiliates	4,132	3,496	2,986	3,058	2,844	3,593	5,603	7,798	4,655	4,879	5,497	5,497	5,497	5,497
Other														
Tax	(43,873)	(51,621)	(52,986)	(46,326)	(44,502)	(66,619)	(66,053)	(127,290)	(141,404)	(233,407)	(326,267)	(583,583)	(767,088)	(938,879)
Minorities	18	(91)	(35)	(54)	(80)	(273)	(533)	(370)	730	836	2,486	(1,127)	(1,357)	(1,666)
Net attributable profit reported	306,574	334,247	343,111	351,131	345,264	517,885	596,540	1,016,530	838,498	1,173,269	1,717,882	2,895,785	3,738,425	4,589,337
Net attributable profit restated (c)	**306,574**	**334,247**	**343,111**	**351,131**	**345,264**	**517,885**	**596,540**	**1,016,530**	**838,498**	**1,173,269**	**1,717,882**	**2,895,785**	**3,738,425**	**4,589,337**
CASH FLOW HIGHLIGHTS (TWDm)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
EBITDA (reported)	**542,553**	**601,786**	**645,702**	**676,170**	**659,585**	**898,508**	**1,072,376**	**1,558,533**	**1,453,657**	**1,984,850**	**2,624,187**	**4,118,632**	**5,420,790**	**6,674,451**
EBITDA adjustment (b)	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Other items	6,022	7,461	8,093	(24,053)	(15,484)	50,527	206,233	232,649	(70,607)	164,749	(23,104)	74,995	9,358	13,031
Change in WCR	25,176	(17,792)	(15,491)	(31,836)	15,539	(59,750)	(100,395)	(53,293)	321	(90,016)	159	(339,856)	(189,204)	(193,351)
Operating cash flow	**573,752**	**591,456**	**638,304**	**620,280**	**659,640**	**889,285**	**1,178,214**	**1,737,889**	**1,383,371**	**2,059,584**	**2,601,243**	**3,853,771**	**5,240,944**	**6,494,131**
Capex	(261,801)	(332,288)	(335,069)	(322,682)	(469,752)	(516,781)	(848,236)	(1,089,626)	(955,335)	(956,007)	(1,272,411)	(2,000,000)	(2,500,000)	(3,000,000)
Operating free cash flow (OpFCF)	**311,951**	**259,167**	**303,236**	**297,598**	**189,888**	**372,504**	**329,977**	**648,263**	**428,036**	**1,103,577**	**1,328,832**	**1,853,771**	**2,740,944**	**3,494,131**
Net financial items + tax paid	(42,933)	(43,010)	(49,969)	(35,211)	(35,551)	(61,861)	(56,383)	(103,900)	(62,487)	(158,844)	(234,967)	(575,844)	(720,345)	(838,041)
Free cash flow	**269,019**	**216,157**	**253,266**	**262,387**	**154,337**	**310,644**	**273,594**	**544,362**	**365,549**	**944,732**	**1,093,865**	**1,277,927**	**2,020,599**	**2,656,091**
Net financial investments & acquisitions	39,609	(69,567)	(10,887)	(6,463)	(5,526)	1,374	5,771	(124,707)	(11,783)	3,056	21,481	0	0	0
Other	30,615	7,955	6,778	(14,146)	(9,890)	(48,952)	7,571	32,608	(18,617)	69,145	62,038	100,000	100,000	0
Capital increase (decrease)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Dividends paid	(116,683)	(155,582)	(181,513)	(207,443)	(259,304)	(259,304)	(265,786)	(285,234)	(291,722)	(363,055)	(466,779)	(570,442)	(777,911)	(985,361)
Increase (decrease) in net financial debt	**(222,559)**	**1,037**	**(67,645)**	**(34,335)**	**120,383**	**(3,762)**	**(21,150)**	**(167,029)**	**(43,427)**	**(653,878)**	**(710,605)**	**(807,485)**	**(1,342,688)**	**(1,670,730)**
Cash flow, group share	**505,643**	**566,083**	**603,764**	**616,811**	**608,409**	**886,708**	**1,221,135**	**1,686,668**	**1,320,563**	**1,990,755**	**2,366,117**	**3,616,375**	**4,708,094**	**5,847,319**
BALANCE SHEET HIGHLIGHTS (TWDm)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
Net operating assets	867,536	1,012,393	1,076,717	1,089,052	1,390,263	1,609,086	2,034,675	2,761,750	3,127,667	3,301,391	3,760,713	4,934,345	6,358,827	7,994,891
WCR	11,300	16,194	8,872	122,077	(104,999)	(96,577)	(82,499)	(234,144)	(184,978)	(303,800)	(408,744)	(68,888)	120,316	313,667
Restated capital employed, incl. gross goodwill	**878,837**	**1,028,587**	**1,085,589**	**1,211,130**	**1,285,264**	**1,512,508**	**1,952,176**	**2,527,606**	**2,942,688**	**2,997,591**	**3,351,969**	**4,865,457**	**6,479,143**	**8,308,558**
Shareholders' funds, group share	1,221,672	1,389,248	1,522,058	1,676,818	1,621,410	1,849,657	2,168,287	2,945,653	3,458,914	4,288,545	5,419,596	7,744,939	10,705,453	14,309,429
Minorities	963	803	702	679	685	965	2,447	14,836	24,349	35,031	41,199	42,326	43,683	45,349
Provisions/ Other liabilities	30,658	25,050	18,595	15,189	26,874	36,866	201,887	220,967	217,242	177,233	157,982	157,982	157,982	57,982
Net financial debt (cash)	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,719,113)	(4,061,801)	(5,732,530)
FINANCIAL RATIOS (%)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
Sales (% change)	10.6%	12.4%	3.1%	5.5%	3.7%	25.2%	18.5%	42.6%	(4.5%)	33.9%	31.6%	47.0%	35.1%	24.7%
Organic sales grow th														
Restated EBITA (% change)	8.2%	18.1%	2.0%	(0.5%)	(2.8%)	52.1%	14.7%	72.5%	(17.8%)	43.5%	46.4%	70.0%	32.0%	22.1%
Restated attributable net profit (% change)	16.2%	9.0%	2.7%	2.3%	(1.7%)	50.0%	15.2%	70.4%	(17.5%)	39.9%	46.4%	68.6%	29.1%	22.8%
Personnel costs / Sales	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
Restated EBITDA margin	64.3%	63.5%	66.1%	65.6%	61.6%	67.1%	67.6%	68.8%	67.2%	68.6%	68.9%	73.5%	71.7%	70.7%
Restated EBITA margin	37.9%	39.9%	39.4%	37.2%	34.8%	42.3%	40.9%	49.5%	42.6%	45.7%	50.8%	58.8%	57.4%	56.2%
Tax rate	12.5%	13.4%	13.4%	11.7%	11.4%	11.4%	10.0%	11.1%	14.4%	16.6%	16.0%	16.8%	17.0%	17.0%
Net margin	36.3%	35.3%	35.1%	34.0%	32.3%	38.7%	37.6%	44.9%	38.8%	40.5%	45.0%	51.7%	49.4%	48.7%
Capex / Sales	31.0%	35.1%	34.3%	31.3%	43.9%	38.6%	53.4%	48.1%	44.2%	33.0%	33.4%	35.7%	33.0%	31.8%
OpFCF / Sales	37.0%	27.3%	31.0%	28.9%	17.7%	27.8%	20.8%	28.6%	19.8%	38.1%	34.9%	33.1%	36.2%	37.0%
WCR / Sales	1.3%	1.7%	0.9%	11.8%	(9.8%)	(7.2%)	(5.2%)	(10.3%)	(8.6%)	(10.5%)	(10.7%)	(1.2%)	1.6%	3.3%
Capital employed (excl. gdw ./intangibles) / Sales	102.5%	107.0%	109.6%	115.8%	118.2%	111.0%	121.3%	110.5%	135.1%	102.7%	87.3%	86.5%	85.4%	87.9%
ROE	25.1%	24.1%	22.5%	20.9%	21.3%	28.0%	27.5%	34.5%	24.2%	27.4%	31.7%	37.4%	34.9%	32.1%
Gearing	(27%)	(24%)	(26%)	(26%)	(19%)	(17%)	(16%)	(17%)	(16%)	(28%)	(35%)	(35%)	(38%)	(40%)
EBITDA / Financial charges	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
Adjusted financial debt / EBITDA	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
ROCE, excl. gdw ./intangibles	32.4%	32.3%	31.2%	28.4%	26.1%	33.8%	30.4%	39.8%	27.0%	37.1%	48.9%	56.6%	55.8%	53.1%
ROCE, incl. gross goodw ill	31.9%	31.8%	30.8%	28.0%	25.7%	33.2%	30.0%	39.4%	26.8%	36.8%	48.5%	56.3%	55.7%	53.0%
WACC	8.5%	9.3%	8.9%	9.4%	9.6%	8.5%	6.6%	8.6%	8.9%	8.5%	9.3%	8.9%	8.9%	8.9%

Latest Model update: 15 Oct. 26

(a) Intangibles: TWD24,952.62m, or TWD1 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A

(c) after EBITA adjustments and financial result/tax adjustments, (*) In listing currency, w ith div. reinvested

vy2184@nyu.edu Valni Yarmorarpian 10/23/26 03:18:32 PM New York University

Price at 14 Oct. 26 / 12m Target Price

USD430.0 / USD555 +29%

Refinitiv / Bloomberg: / TSM US

TSMC ADR (Outperform)

Semiconductors | IT Hardware - Taiwan

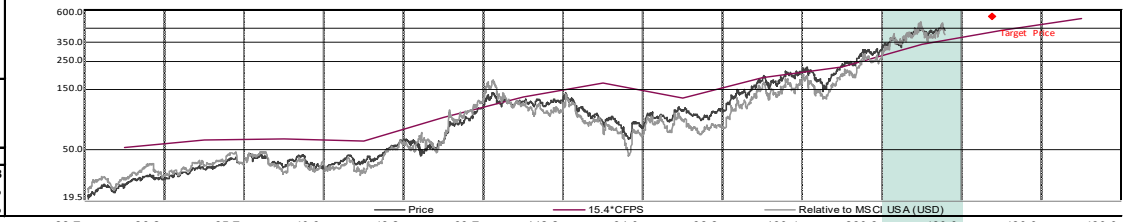
Analyst: Alex Chang +852 28251849

Company Highlights	TWDm / EURm
Enterprise value	68,764,937 / 1,925,799
Market capitalisation	71,597,942 / 2,005,139
Free float	50,834,539 / 1,423,649
3m average volume	149,935 / 4,199

Performance (*)	1m	3m	12m
Absolute	3%	2%	46%
Rel. Sector	(1%)	12%	(9%)
Rel. MSCI USA	2%	0%	26%

12m Hi/Lo (USD) : 485.8 -11% / 275.1 +56%

CAGR	2011/2026	2026/2028
EPS restated	22%	26%
CFPS	19%	27%



Price (yearly avg from Dec. 15 to Dec. 25)	22.7	26.8	35.7	40.6	43.8	69.7	118.8	91.0	93.2	160.4	230.3	430.0	430.0	430.0
PER SHARE DATA (TWD)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
No of shares year end, basic, (m)	5 186.058	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 185.838	5 185.845	5 185.511	5 185.652	5 186.079	5 186.110	5 186.110
Avg no of shares, diluted, excl. treasury stocks (m)	5 186.048	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 185.976	5 185.865	5 185.891	5 186.020	5 186.223	5 186.345	5 186.354
EPS reported, Gaap	*59.12*	*64.45*	*66.16*	*67.71*	*66.58*	*99.86*	*115.03*	*196.02*	*161.69*	*226.26*	*331.28*	*558.38*	*720.85*	*884.93*
EPS company definition	*59.12*	*64.45*	*66.16*	*67.71*	*66.58*	*99.86*	*115.03*	*196.02*	*161.69*	*226.26*	*331.28*	*558.38*	*720.85*	*884.93*
EPS restated, fully diluted	59.12	64.45	66.16	67.71	66.58	99.86	115.03	196.02	161.69	226.24	331.25	558.36	720.82	884.89
% change	*16.2%*	*9.0%*	*2.7%*	*2.3%*	*(1.7%)*	*50.0%*	*15.2%*	*70.4%*	*(17.5%)*	*39.9%*	*46.4%*	*68.6%*	*29.1%*	*22.8%*
Book value (BVPS) (a)	235.6	267.9	293.5	323.3	312.6	356.7	418.1	568.0	667.0	827.0	1045.1	1493.4	2064.3	2759.2
Net dividend	30.00	35.00	40.00	50.00	50.00	51.25	55.00	56.25	70.01	85.02	110.00	150.00	190.00	230.00
STOCKMARKET RATIOS	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
P / E (P/ EPS restated)	12.2x	13.4x	16.4x	18.1x	20.3x	20.6x	28.9x	13.8x	18.0x	22.8x	21.7x	24.7x	19.2x	15.6x
P / E relative to MSCI Europe	80%	74%	104%	117%	148%	85%	220%	103%	121%	148%	119%	166%	140%	125%
P / CF	7.4x	7.9x	9.3x	10.3x	11.5x	12.0x	14.1x	8.3x	11.4x	13.4x	15.7x	19.8x	15.2x	12.2x
FCF yield	7.2%	4.8%	4.5%	4.1%	2.2%	2.9%	1.6%	3.9%	2.4%	3.5%	2.9%	1.8%	2.8%	3.7%
P / BVPS	3.06x	3.23x	3.70x	3.79x	4.33x	5.76x	7.94x	4.77x	4.35x	6.23x	6.87x	9.24x	6.69x	5.00x
Net yield	4.2%	4.1%	3.7%	4.1%	3.7%	2.5%	1.7%	2.1%	2.4%	1.7%	1.5%	1.1%	1.4%	1.7%
Payout	50.7%	54.3%	60.5%	73.8%	75.1%	51.3%	47.8%	28.7%	43.3%	37.6%	33.2%	26.9%	26.4%	26.0%
EV / Sales	3.99x	4.32x	5.30x	5.69x	6.23x	7.68x	10.59x	5.95x	6.66x	8.78x	9.25x	12.28x	8.91x	6.97x
EV / Restated EBITDA	6.2x	6.8x	8.0x	8.7x	10.1x	11.4x	15.7x	8.6x	9.9x	12.8x	13.4x	16.7x	12.4x	9.9x
EV / Restated EBITA	10.5x	10.8x	13.4x	15.3x	17.9x	18.1x	25.9x	12.0x	15.6x	19.2x	18.2x	20.9x	15.5x	12.4x
EV / NOPAT	12.0x	12.5x	15.5x	17.3x	20.2x	20.5x	28.7x	13.5x	18.3x	23.0x	21.7x	25.1x	18.7x	14.9x
EV / OpFCF	10.8x	15.8x	17.1x	19.7x	35.1x	27.6x	51.0x	20.8x	33.6x	23.0x	26.5x	37.1x	24.6x	18.8x
EV / Capital employed (incl. gross goodwill)	3.8x	4.0x	4.8x	4.8x	5.2x	6.8x	8.6x	5.3x	4.9x	8.5x	10.5x	14.1x	10.4x	7.9x
ENTERPRISE VALUE (TWDm)	**3,367,933**	**4,097,544**	**5,184,706**	**5,871,764**	**6,664,370**	**10,282,156**	**16,813,335**	**13,470,986**	**14,402,686**	**25,398,594**	**35,218,011**	**68,764,937**	**67,422,676**	**65,751,946**
Market cap	3,739,532	4,481,561	5,637,958	6,350,828	7,025,207	10,652,014	17,216,291	14,057,418	15,061,293	26,713,510	37,243,531	71,597,942	71,598,369	71,598,369
+ Adjusted net debt	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,719,113)	(4,061,801)	(5,732,530)
+ Other liabilities and commitments														
+ Revalued minority interests	2,856	2,496	2,514	2,493	2,869	5,121	17,489	67,418	99,210	188,303	188,303	188,303	188,303	188,303
- Revalued investments	43,238	56,334	57,941	49,396	51,928	59,440	83,756	150,132	210,672	302,195	302,195	302,195	302,195	302,195
P & L HIGHLIGHTS (TWDm)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
Sales	**843,497**	**947,938**	**977,447**	**1,031,474**	**1,069,985**	**1,339,255**	**1,587,415**	**2,263,891**	**2,161,736**	**2,894,308**	**3,809,054**	**5,599,962**	**7,565,596**	**9,436,054**
Restated EBITDA (b)	**542,553**	**601,786**	**645,702**	**676,170**	**659,585**	**898,508**	**1,072,376**	**1,558,533**	**1,453,657**	**1,984,850**	**2,624,187**	**4,118,632**	**5,420,790**	**6,674,451**
Depreciation	(222,506)	(223,828)	(260,143)	(292,546)	(286,884)	(331,725)	(422,395)	(437,254)	(532,191)	(662,797)	(688,096)	(826,368)	(1,075,518)	(1,368,194)
Restated EBITA (b)	**320,048**	**377,958**	**385,559**	**383,624**	**372,701**	**566,784**	**649,981**	**1,121,279**	**921,466**	**1,322,054**	**1,936,091**	**3,292,264**	**4,345,272**	**5,306,257**
Reported operating profit (loss)	320,048	377,958	385,559	383,624	372,701	566,784	649,981	1,121,279	921,466	1,322,054	1,936,091	3,292,264	4,345,272	5,306,257
Net financial income (charges)	26,249	4,506	7,588	10,829	14,300	14,401	7,542	15,114	53,051	78,906	100,074	182,734	156,101	218,127
Affiliates	4,132	3,496	2,986	3,058	2,844	3,593	5,603	7,798	4,655	4,879	5,497	5,497	5,497	5,497
Other														
Tax	(43,873)	(51,621)	(52,986)	(46,326)	(44,502)	(66,619)	(66,053)	(127,290)	(141,404)	(233,407)	(326,267)	(583,583)	(767,088)	(938,879)
Minorities	18	(91)	(35)	(54)	(80)	(273)	(533)	(370)	730	836	2,486	(1,127)	(1,357)	(1,666)
Net attributable profit reported	306,574	334,247	343,111	351,131	345,264	517,885	596,540	1,016,530	838,498	1,173,269	1,717,882	2,895,785	3,738,425	4,589,337
Net attributable profit restated (c)	**306,574**	**334,247**	**343,111**	**351,131**	**345,264**	**517,885**	**596,540**	**1,016,530**	**838,498**	**1,173,269**	**1,717,882**	**2,895,785**	**3,738,425**	**4,589,337**
CASH FLOW HIGHLIGHTS (TWDm)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
EBITDA (reported)	**542,553**	**601,786**	**645,702**	**676,170**	**659,585**	**898,508**	**1,072,376**	**1,558,533**	**1,453,657**	**1,984,850**	**2,624,187**	**4,118,632**	**5,420,790**	**6,674,451**
EBITDA adjustment (b)	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Other items	6,022	7,461	8,093	(24,053)	(15,484)	50,527	206,233	232,649	(70,607)	164,749	(23,104)	74,995	9,358	13,031
Change in WCR	25,176	(17,792)	(15,491)	(31,836)	15,539	(59,750)	(100,395)	(53,293)	321	(90,016)	159	(339,856)	(189,204)	(193,351)
Operating cash flow	**573,752**	**591,456**	**638,304**	**620,280**	**659,640**	**889,285**	**1,178,214**	**1,737,889**	**1,383,371**	**2,059,584**	**2,601,243**	**3,853,771**	**5,240,944**	**6,494,131**
Capex	(261,801)	(332,288)	(335,069)	(322,682)	(469,752)	(516,781)	(848,236)	(1,089,626)	(955,335)	(956,007)	(1,272,411)	(2,000,000)	(2,500,000)	(3,000,000)
Operating free cash flow (OpFCF)	**311,951**	**259,167**	**303,236**	**297,598**	**189,888**	**372,504**	**329,977**	**648,263**	**428,036**	**1,103,577**	**1,328,832**	**1,853,771**	**2,740,944**	**3,494,131**
Net financial items + tax paid	(42,933)	(43,010)	(49,969)	(35,211)	(35,551)	(61,861)	(56,383)	(103,900)	(62,487)	(158,844)	(234,967)	(575,844)	(720,345)	(838,041)
Free cash flow	**269,019**	**216,157**	**253,266**	**262,387**	**154,337**	**310,644**	**273,594**	**544,362**	**365,549**	**944,732**	**1,093,865**	**1,277,927**	**2,020,599**	**2,656,091**
Net financial investments & acquisitions	39,609	(69,567)	(10,887)	(6,463)	(5,526)	1,374	5,771	(124,707)	(11,783)	3,056	21,481	0	0	0
Other	30,615	7,955	6,778	(14,146)	(9,890)	(48,952)	7,571	32,608	(18,617)	69,145	62,038	100,000	100,000	0
Capital increase (decrease)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Dividends paid	(116,683)	(155,582)	(181,513)	(207,443)	(259,304)	(259,304)	(265,786)	(285,234)	(291,722)	(363,055)	(466,779)	(570,442)	(777,911)	(985,361)
Increase (decrease) in net financial debt	**(222,559)**	**1,037**	**(67,645)**	**(34,335)**	**120,383**	**(3,762)**	**(21,150)**	**(167,029)**	**(43,427)**	**(653,878)**	**(710,605)**	**(807,485)**	**(1,342,688)**	**(1,670,730)**
Cash flow, group share	**505,643**	**566,083**	**603,764**	**616,811**	**608,409**	**886,708**	**1,221,135**	**1,686,668**	**1,320,563**	**1,990,755**	**2,366,117**	**3,616,375**	**4,708,094**	**5,847,319**
BALANCE SHEET HIGHLIGHTS (TWDm)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
Net operating assets	867,536	1,012,393	1,076,717	1,089,052	1,390,263	1,609,086	2,034,675	2,761,750	3,127,667	3,301,391	3,760,713	4,934,345	6,358,827	7,994,891
WCR	11,300	16,194	8,872	122,077	(104,999)	(96,577)	(82,499)	(234,144)	(184,978)	(303,800)	(408,744)	(68,888)	120,316	313,667
Restated capital employed, incl. gross goodwill	**878,837**	**1,028,587**	**1,085,589**	**1,211,130**	**1,285,264**	**1,512,508**	**1,952,176**	**2,527,606**	**2,942,688**	**2,997,591**	**3,351,969**	**4,865,457**	**6,479,143**	**8,308,558**
Shareholders' funds, group share	1,221,672	1,389,248	1,522,058	1,676,818	1,621,410	1,849,657	2,168,287	2,945,653	3,458,914	4,288,545	5,419,596	7,744,939	10,705,453	14,309,429
Minorities	963	803	702	679	685	965	2,447	14,836	24,349	35,031	41,199	42,326	43,683	45,349
Provisions/ Other liabilities	30,658	25,050	18,595	15,189	26,874	36,866	201,887	220,967	217,242	177,233	157,982	157,982	157,982	57,982
Net financial debt (cash)	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,719,113)	(4,061,801)	(5,732,530)
FINANCIAL RATIOS (%)	**Dec. 15**	**Dec. 16**	**Dec. 17**	**Dec. 18**	**Dec. 19**	**Dec. 20**	**Dec. 21**	**Dec. 22**	**Dec. 23**	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**
Sales (% change)	10.6%	12.4%	3.1%	5.5%	3.7%	25.2%	18.5%	42.6%	(4.5%)	33.9%	31.6%	47.0%	35.1%	24.7%
Organic sales growth														
Restated EBITA (% change)	8.2%	18.1%	2.0%	(0.5%)	(2.8%)	52.1%	14.7%	72.5%	(17.8%)	43.5%	46.4%	70.0%	32.0%	22.1%
Restated attributable net profit (% change)	16.2%	9.0%	2.7%	2.3%	(1.7%)	50.0%	15.2%	70.4%	(17.5%)	39.9%	46.4%	68.6%	29.1%	22.8%
Personnel costs / Sales	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
Restated EBITDA margin	64.3%	63.5%	66.1%	65.6%	61.6%	67.1%	67.6%	68.8%	67.2%	68.6%	68.9%	73.5%	71.7%	70.7%
Restated EBITA margin	37.9%	39.9%	39.4%	37.2%	34.8%	42.3%	40.9%	49.5%	42.6%	45.7%	50.8%	58.8%	57.4%	56.2%
Tax rate	12.5%	13.4%	13.4%	11.7%	11.4%	11.4%	10.0%	11.1%	14.4%	16.6%	16.0%	16.8%	17.0%	17.0%
Net margin	36.3%	35.3%	35.1%	34.0%	32.3%	38.7%	37.6%	44.9%	38.8%	40.5%	45.0%	51.7%	49.4%	48.7%
Capex / Sales	31.0%	35.1%	34.3%	31.3%	43.9%	38.6%	53.4%	48.1%	44.2%	33.0%	33.4%	35.7%	33.0%	31.8%
OpFCF / Sales	37.0%	27.3%	31.0%	28.9%	17.7%	27.8%	20.8%	28.6%	19.8%	38.1%	34.9%	33.1%	36.2%	37.0%
WCR / Sales	1.3%	1.7%	0.9%	11.8%	(9.8%)	(7.2%)	(5.2%)	(10.3%)	(8.6%)	(10.5%)	(10.7%)	(1.2%)	1.6%	3.3%
Capital employed (excl. gdw./intangibles) / Sales	102.5%	107.0%	109.6%	115.8%	118.2%	111.0%	121.3%	110.5%	135.1%	102.7%	87.3%	86.5%	85.4%	87.9%
ROE	25.1%	24.1%	22.5%	20.9%	21.3%	28.0%	27.5%	34.5%	24.2%	27.4%	31.7%	37.4%	34.9%	32.1%
Gearing	(27%)	(24%)	(26%)	(26%)	(19%)	(17%)	(16%)	(17%)	(16%)	(28%)	(35%)	(35%)	(38%)	(40%)
EBITDA / Financial charges	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
Adjusted financial debt / EBITDA	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
ROCE, excl. gdw./intangibles	32.4%	32.3%	31.2%	28.4%	26.1%	33.8%	30.4%	39.8%	27.0%	37.1%	48.9%	56.6%	55.8%	53.1%
ROCE, incl. gross goodwill	31.9%	31.8%	30.8%	28.0%	25.7%	33.2%	30.0%	39.4%	26.8%	36.8%	48.5%	56.3%	55.7%	53.0%
WACC	8.5%	9.3%	8.9%	9.4%	9.6%	8.5%	6.6%	8.6%	8.9%	8.5%	9.3%	8.9%	8.9%	8.9%

Latest Model update: 15 Oct. 26

(a) Intangibles: TWD24,952.62m, or USD5 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A

(c) after EBITA adjustments and financial result/tax adjustments, (*) In listing currency, with div. reinvested

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